IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 43/BB/2017

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 14th March, 2018

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

MAGNA WAREHOUSING AND DISTRIBUTION PRIVATE LIMITED

AND

CHALET HOTELS PRIVATE LIMITED

Coram: 1. Hon'ble Shri RatakondaMurali, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Magna Warehousing and Distribution Private Limited
No. 75, EPIP Area,
Next to Satya Sai Hospital,
Whitefield,
Bangalore -560 066 - **Petitioner/Transferor Company**

Chalet Hotels Private Limited
Plot No. C-30, opp. SIDBI,
BandraKurla Complex,
Bandra (East)
Mumbai-400052 - **Transferee Company**

Parties Present : 1) Mr. RaghuramCadambi
Advocate for the Petitioner Companies

2) Mrs. Sinchana M.R, Advocate
Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 24.08.2017, 09.10.2017, 24.10.2017, 30.11.2017, 19.12.2017, 15.01.2018, 05.02.2018, 26.02.2018.

ORDER

The Company Petition was filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby**MAGNA WAREHOUSING AND DISTRIBUTION PRIVATE LIMITED** (Petitioner / Transferor Company) being merged with **CHALET HOTELS PRIVATE LIMITED** (Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant partiesof the Petitioner/ Transferor Company.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Company seek an order for sanctioning the Scheme of AmalgamationofMAGNA **WAREHOUSING AND DISTRIBUTION PRIVATE LIMITED** (Petitioner / Transferor Company) with **CHALET HOTELS PRIVATE LIMITED** (Transferee Company).The Scheme of Amalgamation is shown as **Annexure A.**

The Petitioner / TransferorCompany was incorporated on 16th September, 2005under the name and style as**'Magna Warehousing and Distribution Private Limited'**having its Registered office at No. 75, EPIP Area, Next to Satya Sai Hospital, Whitefield, Bengaluru-560066 and obtained Certificate of Incorporation vide bearing CIN No. **U60232MH2005PTC156131.**

The Petitioner/Transferor Company's Objects as set out in its Memorandum of Association is "To carry on the business of warehousing, logistic, supply chain, packers, distribution, clearing and forwarding agents, customs house agents, cargo movers, cargo agents, freight brokers, freight contractors, carrier of goods, multi model transport operators, freight forwarding transporters, containerization, and couriers by any conveyance or conveyances in respect of any assets, goods, containers, luggage fright, documents and parcels, whether commercial or otherwise, to and from any part of the world".

The Copy of theMemorandum & Articles of Association of the Transferor Company is shown in **AnnexureE.**

Authorised share capital of the Petitioner /Transferor Company as stated in the petition is Rs, 24,10,00,000/- divided in to 1,00,000 equity share of Rs, 10/- each and 2,400/- Non-Cumulative redeemable preference share of Rs, 1,00,000/- each and issued subscribed and paid up share capital of Rs. 8,06,17,450/- divided in to 61,745 equity shares of Rs.10/- each fully paidup and 800 Non-cumulative preference shares of Rs, 1,00,000/- each fully paid up.

The Copy of Audited Financials of the Petitioner/ transferor company as on 31st March, 2016 and is shown in**Annexure F.**

The TransfereeCompanywas incorporated on 06th January, 1986as a Private LimitedCompanyunder the name and style as **Kenwood Hotels PrivateLimited**andby an endorsement dated 19th July, 1997 the name was changed as a **Kenwood Hotels Limited.** Thereafter, by a resolution dated2nd March, 1998 the transferee company name was changed as a **K. Raheja Resorts & Hotels Limited.** Subsequently by a resolution dated 24th April, 1999 the transferee company name was changed as **Chalet Hotels Limited**. Thereafter, by a special resolution dated 25th August, 2011 the name of the company was changed to **Chalet Hotels Private Limited** and such alternation in name was approved by the Central Government on 15th October, 2011 vide CIN No. **U55101MH1986PTC038538.** The Registered office of the Transferee Company is situated at Raheja Tower, Plot No., C-30, Block G, Next to Bank of Baroda, BandraKurla Complex, Bandra (East), Mumbai-40051.

The Transferee Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i. To own, construct, run, furnish of, take over, manage, carry on the business of hotels, holiday-resorts, restaurant, café, tavern bars, refreshment-rooms, boarding and lodging, house keepers, clubs, in India or in any other part of the world.

ii. To provide lodging and boarding, restaurants, eating houses, bar swimming pool and other facilities to public including tourists, visitors and other

delegates coming to India from foreign countries and to members of delegations and missions from foreign countries.

iii. To carry on business of buildings, erecting and constructing structures, buildings, houses or sheds including RCC works and other fixtures on lands and or building and to convert squares metal or otherwise repair roads and carry on business of builders, constructors, contractors and road repairers and all kinds of dams, bunds, canals, bridges and irrigation works including construction of power house or power stations.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of theTransferee Companyis shown in**Annexure K.**

Authorised share capital of the Transferee Company as stated in the petition is Rs, 1,52,50,00,000/- divided in to 15,25,00,000 equity share of Rs, 10/- each and issued subscribed and paid up share capital of Rs. 1,52,14,22,530/- divided in to 15,21,42,253 equity shares of Rs.10/- each.

The Copy of Audited Financials of the 2nd Petitioner/Transferee company as on 31stMarch, 2016 and as shown in **Annexure L.**

The Board of Directors of the Petitioner/Transferor Company and Petitioner/Transferee Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 05th January, 2017. The copies of Board Resolutions are shown in **ANNEXURE – R & S.**

That the Petitioner/Transferor & Transferee Companies had filed Company Application No.(CAA) 11/BB/2017 before this Tribunal for dispensation of the meetings of Equity shareholders, Preference Shareholders, Secured and Unsecured Creditors of the Petitioner Company. The Copy of the Order of this Tribunal in (CAA) No.11/BB/2017 is shown as **Annexure- P.**

This Tribunal vide order dated 24th August, 2017 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Income Tax Authorities and Official Liquidator, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily

Newspaper and '**UdayaVani**' a Kannada daily Newspaper and stating the next date of hearing was on 09th October, 2017.

In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 09th October, 2017** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udaya Vani**'a Kannada daily Newspaper.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. ROCB/ Legal/CAA-3/2017 dated 23.10.2017 wherein he has not made any observation and has stated that the Petition may be decided on merits.

The Regional Director, Ministry of Corporate Affairs, South-East Region has filed affidavit dated 20th October, 2017 wherein he has stated that the Tribunal may to dispose off the petition on merits.

On the prayer made by the Official Liquidator in OLR no. 150/17 in CP (CAA) 43/BB/2017, vide order dated 24.10.2017 M/s. P. Chandrasekar LLP, Chartered Accountants was appointed by this Tribunal to Scrutinise the Books of Accounts and records of Petitioner/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s. P. Chandrasekar LLP, Chartered Accountants submitted the report.

Pursuant to the same, the Official Liquidator has filed a Reportdated 15.02.2018 in OLR.No.24/18 stating that M/s.P. Chandrasekar LLP, Chartered Accountants has submitted Report dated 28.11.2017which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by

the Transferor Company so far as appears from our examinations of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

The Counsel for the Petitioner/Transferor Company has filed copy of Accounting Treatment Certificate **dated 20.01.2017** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment contained in Paragraph 13 of the aforesaid Draft Scheme is in compliance with the applicable Accounting Standard notified under section 133 of the Companies Act,2013 r/w rule made there under, and other generally Accepted Accounting Principles as applicable. The Auditors Certificate on Accounting Treatment is submitted by way of Compliance memo dated 16.08.2017.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the

same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st November, 2016.

The Transferor Companyor its Authorised Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

14/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

14.3.18

(RATAKONDA MURALI)
MEMBER, JUDICIAL